Activity 3: Financial Accounting

Using the financial information provided below for NexusAI for the year ending 31 December 2025, prepare the following financial statements:

1. Balance Sheet
2. Profit & Loss Statement (P&L)
3. Cash Flow Statement

Ensure that all calculations are clearly shown and accurate.

Financial Information

- Cash in Hand: $5,000
- Bank Balance: $10,000
- Accounts Receivable: $12,000
- Office Computers and Servers: $30,000
- Office Furniture: $8,000
- Software Licenses: $6,000

- Accounts Payable: $7,000
- Bank Loan: $15,000

Revenue

- Software Development Services: $50,000
- Website Maintenance Services: $10,000

Expenses

- Salaries: $22,000
- Office Rent: $7,000
- Utilities: $2,500
- Internet & Cloud Services: $1,500
- Marketing Expenses: $2,000

Additional Information

- The owner invested $40,000 at the start of the year.
- The company purchased computers worth $5,000 in cash during the year.
- Loan repayment of $3,000 was made during the year.

Depreciation Policy

Apply the following annual depreciation rates:

- Computers and Servers: 20%
- Office Furniture: 10%
- Software Licenses: 15%

Clearly calculate depreciation, determine net profit, and ensure the **Balance Sheet balances (Assets = Liabilities + Equity).*